

Investment Memo — Project Sitara

One page · Confidential · 28 July 2026

Ask: ₹1.25 crore (Scenario A — validate & build v1). Staged plan: +₹3.3 Cr at month 7 (Gate 1), +₹3.3 Cr at month 19 (cohort audit). Peak staged capital ₹7.85 Cr.

Business: Premium AI Vedic life-planning subscription for NRI/affluent Indian women. \$99–199/yr NRI · ₹3,999–7,999/yr India. AI daily timing brief + life-memory companion + verified human astrologers under an ethics contract (no fear-selling, fixed prices, easy cancel).

Why this, why now: ₹1,182 Cr proven category (80% repeat revenue) about to be floodlit by an IPO; AI now outperforms incumbent human astrologers (4.6 vs 4.3) at ~90% margins; international demand grew 4.2x with no premium product serving it; documented trust vacuum (fear-upsells, 3.3/5 Trustpilot at the leader) creates the brand opening.

Use of funds (₹1.25 Cr): Product ₹52L · expert layer ₹18L · marketing ₹22L · ops+legal ₹17L · contingency ₹16L.

Unit economics (base): ARPU ₹880/mo net · contribution ₹678/mo (77%) · CAC ₹3,600 · LTV ₹11,306 · LTV:CAC 3.1x · payback 5.3 months.

Base-case path: 3,231 payers/₹1.42 Cr revenue (Y1) → 8,552/₹6.34 Cr (Y2) → 14,544/₹12.16 Cr, EBITDA +₹0.20 Cr (Y3); EBITDA-positive month 30; exit ARR ₹14.8 Cr; closing cash ₹3.47 Cr with no further capital.

Gates & stop-loss: G0 landing >25% capture · G1 concierge M2 renewal ≥60% (M3 ≥45%) · G2 founding 500, CAC <₹4,000 · stop-loss = M2 <40% or founding <250 by month 6 → exposure capped ₹1.25 Cr. Kill any channel >₹6,000 CAC after two cohorts. Churn >8% for two consecutive quarters halts scale spend.

Top risks: subscription conversion (tested by G1); churn (annual-first pricing; calendar-anchored value); incumbent response (premium NRI niche + ethics moat they cannot copy without cannibalising consult revenue).

Decision requested: Approve Scenario A today; month-6 board review with cohort data decides Tranche B.